KALYAN JEWELLERS INDIA

A Study of the FOCO Expansion Model, Financial Performance and Valuation

Academic Project Report
FY22–FY26 Historical Analysis and FY27E–FY31E Scenarios

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Prepared with the Kalyan FOCO financial model supplied for this study

Executive Summary

This project examines the Franchisee-Owned, Company-Operated (FOCO) expansion model of Kalyan Jewellers India and its relationship with growth, capital intensity, operating performance and equity valuation. The analysis combines reported FY22–FY26 historical figures with an explicit five-year forecast for FY27E–FY31E. All amounts are in ₹ million unless noted. Historical data are identified separately from analyst assumptions; forecast outputs are scenario illustrations, not management guidance.

The company's consolidated revenue rose from ₹108,179 million in FY22 to ₹357,429 million in FY26, an approximate five-year CAGR of 34.9%. Reported EBITDA increased from ₹8,145 million to ₹24,912 million, while reported PAT moved from ₹2,240 million to ₹13,504 million. India Kalyan showrooms expanded from 124 to 342 over the same period. FOCO stores grew from none in the workbook's FY22 base to 222 by FY26, representing 64.9% of Kalyan India showrooms. These outcomes show substantial expansion alongside a change in store ownership and funding structure.

In the workbook base case, revenue reaches ₹622,927 million in FY31E, EBITDA reaches ₹46,097 million, PAT reaches ₹28,729 million and EPS reaches ₹27.82. The bull case reaches revenue of ₹764,487 million and PAT of ₹39,911 million; the bear case reaches revenue of ₹502,671 million and PAT of ₹18,410 million. These ranges are driven by store additions, same-business growth, assumed recognized revenue per new store, margins, finance costs and working-capital intensity.

The valuation sheet reports a blended base value of ₹479.55 per share against a spot reference of ₹551.30 on 20 October 2026. This is a model output rather than a recommendation. DCF sensitivity is substantial: the base DCF value ranges from about ₹240.58 to ₹507.85 across the workbook's WACC and terminal growth grid. The report identifies material model limitations, particularly the bull-case FOCO count exceeding total stores, inconsistent capex-per-store assumptions, and the lack of disclosed cohort unit economics. The central conclusion is that FOCO can enable faster network growth with lower company-funded store capex, but its long-term value depends on partner economics, operating control, revenue recognition, working capital and disciplined disclosure.

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Page numbers are indicative and should be refreshed in Word after editing. The report uses a page break for each major analytical unit to support a clear academic reading sequence.

1. Introduction to the Study

The Indian jewellery business combines discretionary consumption with a high-value store of household wealth. Jewellery purchases are shaped by wedding and festival calendars, local customs, trust in purity, exchange practices, design preferences, gold prices and household income. A retailer must manage product availability and customer confidence while controlling inventory, store investment and operating standards. These features make the sector economically distinct from ordinary apparel or grocery retail.

Organised jewellers compete with a large base of local and family-owned firms. Branded retailers seek to differentiate through hallmarking, design breadth, transparent billing, exchange policies, financing options and consistent service. The organised channel can build consumer trust and geographic scale, yet it must sustain high inventory requirements and respond to volatile commodity prices. These sector characteristics provide context for studying Kalyan Jewellers and its chosen expansion architecture.

Kalyan Jewellers India Limited is the company examined in this report. The workbook describes consolidated financial performance, Kalyan India showroom counts, the share of showrooms in the FOCO format, geographic mix, capital expenditure, debt and operating return measures. The study treats these data as a company-level case rather than a survey of jewellery consumers or franchise partners. Its primary analytical question is how a franchisee-funded, company-operated store format may alter the relationship between network expansion and the company's capital requirements.

1.1 Background and Rationale

A company-owned and company-operated store requires the retailer to arrange premises, fit-out, systems and often a greater share of working capital. Growth through this route can offer direct control and retain the full store economics, but it can also increase capital employed, cash-flow pressure and execution exposure. A franchise-owned and company-operated arrangement reallocates some ownership and establishment investment to a partner while retaining central operating responsibility with the brand company.

FOCO is therefore relevant to the study of capital efficiency. If the franchise partner funds store establishment, the company may add locations with less direct fixed-asset investment. However, lower store capex does not imply that all capital or risk disappears. The company may continue to fund inventory, staff, technology, marketing, logistics and other operating inputs, depending on contract design. Further, franchise consideration may affect the revenue and margin recorded by the company. The economics cannot be inferred from store count alone.

The Kalyan workbook provides an unusually useful basis for a student project because it separates reported historical information from analyst estimates and contains three scenarios. It also makes assumptions visible, including store additions, geographic mix, margins, finance cost, capex, working capital and valuation controls. The resulting analysis can consider not only the growth thesis but also the reliability and sensitivity of a forecast model.

1.2 Company and Business Context

The company operates jewellery showrooms under the Kalyan brand and also has an online jewellery business under the Candere name. The workbook's historical data are consolidated for financial performance, while showroom counts specifically refer to Kalyan India. This distinction matters: consolidated revenue includes business beyond the Kalyan India showroom network, so a direct division of consolidated revenue by Kalyan store count would not produce a defensible store productivity measure.

The model describes FY26 revenue of ₹357,429 million, EBITDA of ₹24,912 million and reported PAT of ₹13,504 million. At 31 March 2026 it records 342 Kalyan India showrooms, including 222 FOCO showrooms. It also indicates that 70% of Kalyan India stores were outside South India. These figures show the scale and structural change used as the starting point for the forecast.

The study does not assume that historical growth will continue automatically. FY22–FY26 performance includes changing store base, customer demand, prices, product mix, acquisitions or business composition, and macroeconomic conditions. The forecast instead makes these assumptions explicit and tests alternative paths. That distinction is essential for academic interpretation: observed association between growth and expansion does not establish that FOCO alone caused the growth.

1.3 Meaning and Structure of the FOCO Model

FOCO means franchisee-owned and company-operated. In a simplified arrangement, a franchise partner owns or funds the showroom establishment while the brand company operates the store and applies its merchandising, staffing, service and control systems. The exact allocation of property costs, inventory, deposits, maintenance, franchise fees and revenue sharing is contract-specific. Accordingly, FOCO should be treated as a family of contractual arrangements rather than a single universal accounting template.

The model may create a capital-allocation benefit where the partner bears a meaningful portion of setup investment. It can also align local partner knowledge with a centrally managed customer proposition. The company may retain operating control and brand standards, which can support consistency. At the same time, central operation means that the company may continue to bear payroll, performance and reputational exposure, while the partner requires an adequate return on the capital committed.

For this report, FOCO is assessed through four analytical lenses: (a) network scale and geography, (b) company financial outcomes, (c) cash flow and capital needs, and (d) valuation under alternative assumptions. The workbook's forecast assumes all newly opened stores are FOCO. This is a simplifying model convention and should not be interpreted as proof that every actual opening follows that format.

1.4 Conceptual Framework

The study uses a capital-efficiency framework. Network expansion is an input; revenue growth and operating contribution are intermediate outcomes; cash flow, return on capital and enterprise value are financial outcomes. FOCO can influence the amount of company-funded capital required per additional location, but the effect on profitability depends on the company's recognized share of sales, partner consideration, staffing and occupancy costs, inventory funding and store maturity.

A conceptual relationship can be expressed as: expansion creates potential sales; realized sales depend on location, assortment and customer acceptance; operating contribution depends on revenue recognition and store costs; free cash flow depends on operating profit, taxes, non-cash charges, capital expenditure and working capital; and valuation depends on the level, timing and risk of these cash flows. Each link can weaken or strengthen independently.

This framework prevents a common analytical error: treating an asset-light label as equivalent to high return on capital. A robust assessment needs both numerator and denominator evidence. Reported ROCE can rise because operating profit increases, because average capital employed falls, or both. To isolate the FOCO contribution, researchers would need store-level capital deployed, franchisee investment, company-funded inventory, contract terms and cohort-level contribution. These details are not all available in the workbook.

2. Objectives of the Study

The general objective is to evaluate the financial and strategic implications of Kalyan Jewellers' FOCO-led showroom expansion using historical data and a scenario-based forecast. The project is designed as an applied financial analysis and does not claim to establish causal effects from a controlled empirical design.

The specific objectives are to describe the company's FY22–FY26 financial and network growth; examine the increasing role of FOCO showrooms in the Kalyan India store base; interpret revenue, EBITDA, PAT, cash flow, debt and ROCE trends; understand how expansion assumptions flow into revenue and earnings forecasts; compare base, bull and bear outcomes for FY27E–FY31E; assess valuation results and sensitivity; and identify the disclosure and model-quality issues that limit confidence in precise estimates.

A further objective is to convert model outputs into practical suggestions for analysis and management monitoring. These suggestions focus on transparency in store cohorts, franchise economics, capital employed and cash conversion. The project also seeks to demonstrate responsible use of secondary data by distinguishing reported facts from estimates, explaining units and periods, and avoiding unsupported store-level conclusions.

Objective	Analytical indicator	Workbook location
Historical performance	Revenue, EBITDA, PAT, cash from operations, debt	Historical
FOCO and footprint	Store counts, FOCO count, regional shares	Historical
Forecast comparison	Revenue, margin, PAT, EPS, FCFF by scenario	Forecast
Valuation assessment	DCF, P/E, blended value, sensitivity	Valuation
Model reliability	Input consistency, definitions, missing data	All sheets

2.1 Research Questions and Propositions

The project addresses five research questions. First, how did Kalyan Jewellers' revenue, profitability and store network change between FY22 and FY26? Second, how rapidly did FOCO adoption increase within the Kalyan India showroom base? Third, what assumptions explain the differences among the workbook's base, bull and bear forecasts? Fourth, how sensitive is the indicated equity value to cash-flow and valuation assumptions? Fifth, what additional data would be required to make a more conclusive assessment of FOCO unit economics?

The study uses propositions as organizing statements rather than formal statistical hypotheses. Proposition one is that a rising FOCO share is associated with expansion of the showroom network and a lower assumed company-funded share of new-store setup capex. Proposition two is that revenue growth does not necessarily translate proportionately into free cash flow because working capital, inventory and debt remain material. Proposition three is that valuation conclusions are highly dependent on assumed earnings multiples, discount rates and terminal growth.

These propositions are evaluated descriptively using the workbook. No regression or causal inference is attempted because the dataset contains only five annual historical observations, lacks store-level cohorts, and combines multiple business lines. The appropriate outcome is therefore a structured interpretation with explicit caveats, not a claim that the FOCO model has independently caused a measured increase in shareholder value.

3. Scope and Limitations

The study covers Kalyan Jewellers India's consolidated historical financial information for FY22 through FY26, the Kalyan India showroom and FOCO counts reported in the workbook, and modeled estimates for FY27E through FY31E. The valuation reference date in the model is 20 October 2026. The geographic focus is the distinction between South and non-South India where the workbook provides mix data.

The study is financial and strategic in orientation. It does not conduct primary interviews, consumer surveys, franchisee surveys, store visits or independent audit procedures. The workbook is the principal analytical dataset. Historical figures are attributed within the workbook to annual reports and investor presentations, while forecast assumptions are identified as analyst estimates. External sources are used selectively to contextualize the model and point readers toward company disclosures.

The scope includes a high-level comparison of DCF and forward P/E valuation. It does not provide a buy, sell or hold recommendation, target price guarantee, legal review of franchise contracts or detailed accounting-policy opinion. All valuation outputs depend on assumptions and should be read as educational model results. The spot price is an as-of-date input and may no longer represent a current market quotation.

3.1 Limitations of Available Information

The workbook does not provide audited store-level revenue, store-level gross margin, mature-cohort sales, new-store ramp curves or contribution by ownership format. It therefore does not permit a reliable comparison of FOCO and company-owned/company-operated store productivity. The model's recognized revenue per new store is an analyst estimate and should not be confused with gross franchisee sell-through or customer billings.

The geographical data are directional mix measures. A reported share of stores outside South India and a quarterly or annual revenue share do not establish same-store productivity. Regional revenue can vary with prices, product mix, store maturity, opening dates and seasonality. Further, consolidated revenue includes Candere and international operations, whereas store counts used in the workbook are for Kalyan India.

The historical series is short and affected by a rapidly changing network. Five annual observations are inadequate for robust statistical tests. Forecast assumptions are not independently validated and are subject to model risk. Some inputs appear internally inconsistent, as detailed in the model review and annexure. These issues mean that forecast precision exceeds the precision of the underlying public evidence; rounded outputs and scenario ranges are more appropriate than point-estimate certainty.

3.2 Definitions and Measurement Boundaries

FY denotes the financial year ending 31 March. FY26 actuals refer to the year ended 31 March 2026 unless the metric is specifically a year-end store count or an identified quarterly indicator. FY27E through FY31E are modeled estimates. ₹mn means ₹ million; one crore equals ₹10 million. Accordingly, ₹357,429 million is equivalent to ₹35,742.9 crore.

EBITDA is reported as provided in the workbook; PAT means profit after tax; EPS is earnings per share; FCFF is free cash flow to the firm; DCF is discounted cash flow; WACC is weighted average cost of capital; D&A is depreciation and amortisation; COCO is company-owned and company-operated; and FOCO is franchisee-owned and company-operated. Percentages are rounded in narrative discussion.

The workbook lists gross debt including gold metal loans (GML) on a standalone basis in one historical row and net debt including GML on a consolidated basis in another. These measures are not directly comparable. The valuation sheet uses FY26 consolidated net debt plus lease liabilities. A reader should not combine debt metrics across accounting perimeters without reconciliation. Missing cells are treated as unavailable rather than zero.

4. Research Methodology

The project follows a descriptive case-study methodology based on secondary data. The unit of analysis is Kalyan Jewellers India Limited at the company level, with a separate focus on its Kalyan India showroom network. The study period includes five historical financial years, FY22–FY26, and a five-year forecast horizon, FY27E–FY31E.

Data were organized into four workbook layers: historical actuals; explicit model assumptions; integrated forecast outputs; and valuation outputs. The historical sheet contains reported financial and network information. The assumptions sheet separates FY26 anchor facts from base, bull and bear estimates. The forecast sheet applies these assumptions through formulas. The valuation sheet discounts forecast cash flows and computes relative valuation outputs.

Analysis proceeded in stages: verify workbook labels and units; calculate growth rates, mix ratios and scenario differences; trace key forecast formulas; compare valuation methodologies; inspect sensitivity; and identify limitations or inconsistencies. Compound annual growth rates are calculated as (ending value / beginning value) raised to 1/n minus one. Interpretations remain descriptive because the workbook does not support causal identification.

4.1 Secondary Data Sources

The primary data source is the Kalyan_FOCO_Model.xlsx file supplied for this project. Its Historical sheet cites FY26 audited annual reporting, FY26 investor presentation, prior annual reports and exchange presentations. The user-supplied workbook is treated as the source of the numerical analysis; where it includes a reference date or source note, that information is retained in the report.

For contextual verification, company investor disclosures are the preferred primary reference. Kalyan Jewellers' investor disclosure portal provides access to stock-exchange disclosures and investor presentations. The company's FY25 annual report describes the FOCO strategy and provides the preceding reporting-period context. A brokerage research report is used only as secondary context for a plain-language description of the model; it is not used as the basis for the workbook's actuals.

Market-multiple references in the workbook are dated 9–15 October 2026 and are reproduced as given, rather than updated. Because market prices and multiples change, this report treats them as dated inputs only. The bibliography lists documents and portals for further examination. Students should consult the original audited filing and presentation before reusing any figure in a separate submission.

4.2 Analytical Techniques

Trend analysis compares annual values and calculates percentage growth. Mix analysis measures FOCO showrooms as a proportion of Kalyan India stores and reviews non-South geographic shares. Margin analysis compares EBITDA and PAT with revenue. Cash-flow analysis places operating cash flow beside EBITDA and PAT to illustrate conversion, while recognizing that inventory and working-capital movements can affect the comparison.

Scenario analysis compares three internally defined cases. The cases vary new store openings, existing-business growth, assumed recognized revenue per new store, EBITDA margin, finance cost, working-capital intensity and other assumptions. A scenario is a coherent set of conditional assumptions; it is not a probability-weighted forecast unless probabilities are explicitly assigned. This workbook assigns no probability weights.

Valuation analysis includes a DCF approach using forecast FCFF and terminal value, and a relative P/E approach using FY28E modeled EPS and selected forward multiples. The workbook also reports a blended value. Sensitivity analysis examines how the base DCF value changes when WACC and terminal growth change. Such analysis is particularly important because a large share of DCF value can arise from cash flows beyond the explicit forecast period.

4.3 Reliability, Validity and Ethical Use

Reliability is supported by transparent formula-driven schedules and identifiable annual-report and investor-presentation source anchors. However, a formula-driven workbook can reproduce errors consistently; formula transparency is not the same as independent verification. The report therefore checks relationships such as FOCO stores not exceeding total stores, capex consistency, and the separation of historical facts from estimates.

Construct validity is limited where a metric is used as a proxy for a broader concept. Store count is not a direct measure of store economics; ROCE is not a direct measure of FOCO contribution; and consolidated revenue per Kalyan India store is not a valid productivity measure. The report avoids using such proxies as if they were exact measures.

Ethical use of secondary data requires attribution, honest treatment of uncertainty and clear labeling of estimates. The report does not invent franchisee returns, store paybacks or same-store growth. It reproduces company-level outputs with their source and period boundaries, and makes model anomalies visible so that a reader can assess the strength of any conclusion.

5. Data Analysis and Interpretation

Consolidated revenue expanded from ₹108,179 million in FY22 to ₹357,429 million in FY26. The four-year interval between FY22 and FY26 implies a CAGR of approximately 34.9%. Growth was uneven but accelerated in absolute terms: revenue increased by ₹44,443 million in FY23, ₹44,442 million in FY24, ₹65,295 million in FY25 and ₹106,978 million in FY26. The FY26 increase was the largest in the series.

Revenue growth reflects the combined effect of volume, price, mix, network additions and business composition. In jewellery retail, higher gold prices may raise nominal sales values without equivalent increases in units sold or real purchasing power. Consequently, reported revenue growth should not be interpreted as volume growth. The workbook does not decompose price, volume and mix effects.

The scale of the FY26 increase provides a strong historical base for forward modeling, but it also creates a high comparison base. The base case assumes growth moderates to 10.6% by FY31E, while still producing revenue of ₹622,927 million. Such moderation is consistent with an expanding base in arithmetic terms, yet it remains dependent on continued additions and positive growth in existing business.

Financial year	Revenue (₹mn)	Annual change (₹mn)	Annual growth
FY22	108,179	—	—
FY23	140,714	44,443	41.1%
FY24	185,156	44,442	31.6%
FY25	250,451	65,295	35.3%
FY26	357,429	106,978	42.7%

5.1 Profitability and Margin Trends

Reported EBITDA rose from ₹8,145 million in FY22 to ₹24,912 million in FY26. The corresponding workbook-derived EBITDA margin moved from approximately 7.5% to 7.0%. This means absolute operating earnings grew substantially even though the margin percentage in FY26 was below the FY22 level. Profit growth and margin expansion are different questions and should be discussed separately.

Reported PAT increased from ₹2,240 million to ₹13,504 million over the same period. PAT margin improved from approximately 2.1% in FY22 to 3.8% in FY26. The PAT margin is affected by depreciation, finance cost, other income, taxation and exceptional items in addition to operating margin. It should not be attributed solely to showroom format.

FY26 marks a sharp step-up in both EBITDA and PAT compared with FY25. A careful academic interpretation should look for explanations in the annual report, including sales scale, product mix, regional growth and operating leverage, while recognizing that the workbook itself does not provide a full bridge. Forecast EBITDA margin assumptions range from 6.3% to 8.0% across scenario years, indicating that model outcomes depend materially on margin normalization.

Metric	FY22	FY25	FY26	FY22–FY26 CAGR / change
EBITDA (₹mn)	8,145	15,172	24,912	32.2% CAGR
EBITDA margin	7.5%	6.1%	7.0%	FY26 +0.5 pp vs FY22
PAT (₹mn)	2,240	7,142	13,504	56.8% CAGR
PAT margin	2.1%	2.9%	3.8%	FY26 +1.7 pp vs FY22

5.2 Network Expansion and FOCO Penetration

Kalyan India showrooms increased from 124 at FY22 year-end to 342 at FY26 year-end. The network therefore nearly tripled over four years. FOCO showrooms rose from zero in FY22 to 15 in FY23, 76 in FY24, 152 in FY25 and 222 in FY26. At FY26 year-end, FOCO represented 64.9% of the 342-store Kalyan India network.

The FY26 increase of 64 net Kalyan India showrooms is smaller than the count of 84 FOCO stores cited as FY26 openings in the assumption note. These figures may refer to gross openings versus net year-end movement, different definitions or timing. They should not be reconciled without reviewing the underlying investor presentation and store closure data. The distinction between gross openings, net additions and year-end stock is important for all network analysis.

The base forecast assumes 80–90 new Kalyan India stores annually, all FOCO, and no conversion of existing COCO stores. This produces 782 total stores and 662 FOCO stores by FY31E. The bull forecast assumes conversions as well as openings and ultimately projects more FOCO than total stores, a logical inconsistency requiring correction before reliance on the bull case.

FY	Total Kalyan India stores	FOCO stores	FOCO share
FY22	124	0	0.0%
FY23	147	15	10.2%
FY24	204	76	37.3%
FY25	278	152	54.7%
FY26	342	222	64.9%

5.3 Geographic Mix and Expansion

The workbook reports that non-South India represented 67% of Kalyan India stores in FY25 and 70% in FY26. It reports non-South contribution to India revenue at 52% for FY25 and 60% in Q4 FY26. The base forecast holds the non-South share of additions at 70–75%, leading to a modeled non-South store mix of roughly 71.7% in FY31E.

Geographic diversification can broaden the addressable market and reduce dependence on a home region. Yet the financial benefit depends on local brand awareness, competitive intensity, customer preferences, real estate economics and the ability to recruit and monitor franchise partners. Expansion outside established markets can raise execution complexity even when the store investment model is asset-light.

The comparison between a 70% non-South store share and a 60% non-South revenue share in Q4 FY26 suggests that revenue mix may be catching up with store mix, but periods and definitions differ. It is not a clean productivity comparison. A robust geographic analysis would use full-year revenue by region, average operating stores, opening dates, mature-cohort sales and product mix.

5.4 Cash Flow, Capex and Working Capital

Cash from operating activities was ₹2,450 million in FY22, ₹10,134 million in FY23, ₹13,218 million in FY24, ₹12,094 million in FY25 and ₹13,175 million in FY26. Operating cash flow was below reported PAT in FY22, above PAT in FY23–FY25, and slightly below PAT in FY26. These comparisons are affected by non-cash charges and movements in inventory, trade balances, taxes and other operating accounts.

FY26 reported EBITDA was ₹24,912 million while cash from operations was ₹13,175 million. The difference illustrates why EBITDA cannot be treated as cash available to equity holders. Capex cash payments were ₹4,061 million in FY26 and ₹4,275 million in FY25. The historical series has missing capex values in some years; those blanks are intentionally unavailable and not zero.

The base case projects change in working capital of ₹3,568 million in FY27E, increasing to ₹4,177 million by FY31E. Its FCFF rises from ₹16,835 million to ₹29,900 million. These estimates use a working-capital ratio applied to incremental revenue and assume partner-funded FOCO inventory reduces incremental funding needs. This simplified ratio cannot fully represent jewellery inventory, gold metal loans, seasonality or store ownership-specific funding.

₹mn	FY22	FY23	FY24	FY25	FY26
Cash from operating activities	2,450	10,134	13,218	12,094	13,175
Capex cash payments	913	Not available	Not available	4,275	4,061

5.5 Debt, Leases and Return on Capital

The workbook records standalone gross debt including GML declining from ₹24,152 million in FY23 to ₹16,001 million in FY26. Consolidated net debt including GML is shown as ₹22,622 million in FY25 and ₹32,505 million in FY26. Because gross debt and net debt differ, and because the stated bases vary, the series should not be read as a continuous directly comparable trend without a reconciliation.

FY26 lease liabilities are shown as ₹20,059 million. The valuation sheet adds net debt and lease liabilities to obtain discounted net debt including leases of ₹52,564 million. Lease treatment is important in retail valuation because store occupancy obligations form part of the operating footprint. DCF and peer comparisons should use consistent treatment of leases and earnings metrics.

Reported ROCE increased from 17.4% in FY23 to 28.8% in FY26. The workbook states that the definition follows the investor presentation. Higher reported ROCE is consistent with stronger profitability and/or capital efficiency, but the available data do not isolate FOCO's contribution. Further analysis would require a consistent average capital employed series and a bridge of operating profit, inventory, lease assets and franchise-funded assets.

5.6 Forecast Method and Base Case

The forecast begins from FY26 consolidated revenue of ₹357,429 million. Existing-business growth is applied to the previous year revenue, and an estimated half-year contribution from new stores is added. The half-year convention recognizes that openings occur throughout the year. The model assumes all additions are FOCO and calculates year-end store counts by adding openings to the prior-year network.

Under the base case, revenue rises to ₹402,023 million in FY27E, ₹452,725 million in FY28E, ₹508,023 million in FY29E, ₹563,250 million in FY30E and ₹622,927 million in FY31E. Annual growth declines from 12.5% to 10.6%. EBITDA margin moves from 7.0% to 7.4%, and EBITDA grows from ₹28,142 million to ₹46,097 million.

PAT rises from ₹15,831 million in FY27E to ₹28,729 million in FY31E, while EPS increases from ₹15.33 to ₹27.82 using 1,032.74 million diluted shares. These calculations assume a 25% tax rate and declining finance cost. They should be read as conditional outputs. Changes in gold prices, expansion timing, margin, working capital or financing costs can materially alter the result.

Base case metric	FY27E	FY29E	FY31E
Revenue (₹mn)	402,023	508,023	622,927
Revenue growth	12.5%	12.2%	10.6%
EBITDA margin	7.0%	7.2%	7.4%
EBITDA (₹mn)	28,142	36,578	46,097
PAT (₹mn)	15,831	21,769	28,729
EPS (₹)	15.33	21.08	27.82

5.7 Bull and Bear Scenario Comparison

The bull case combines faster openings, higher existing-business growth, higher assumed new-store revenue, stronger EBITDA margins and lower working-capital intensity. It produces FY31E revenue of ₹764,487 million, EBITDA of ₹61,159 million, PAT of ₹39,911 million and EPS of ₹38.65. Bull-case revenue growth is 13.2% in FY31E after a stronger initial period.

The bear case assumes fewer annual additions, lower existing-business growth, lower recognized revenue per new store, lower margins, higher finance costs and working-capital intensity. It produces FY31E revenue of ₹502,671 million, EBITDA of ₹33,679 million, PAT of ₹18,410 million and EPS of ₹17.83. It remains a growth case rather than a contraction case.

The FY31 revenue gap between bull and bear is ₹261,815 million, or approximately 52.1% of bear revenue. The PAT gap is ₹21,500 million. Because multiple assumptions move together, this is not a one-factor sensitivity test. It illustrates the combined uncertainty of expansion, productivity and profitability. Scenario outputs are not assigned probabilities and should not be averaged as if they represented expected value.

FY31E	Bear	Base	Bull
Revenue (₹mn)	502,671	622,927	764,487
EBITDA margin	6.7%	7.4%	8.0%
EBITDA (₹mn)	33,679	46,097	61,159
PAT (₹mn)	18,410	28,729	39,911
EPS (₹)	17.83	27.82	38.65
FCFF (₹mn)	16,464	29,900	41,624

5.8 Valuation Analysis

The workbook applies a DCF approach to forecast FCFF for FY27E–FY31E and uses a terminal value based on a 5% terminal growth rate and 11% WACC in the base case. It reports base enterprise value of ₹393,234 million and DCF equity value per share of ₹329.87 after debt and lease adjustments. The model also applies a 35× forward P/E to FY28E EPS, producing ₹629.24 per share.

The two methods yield markedly different estimates. The workbook's blended base value is ₹479.55 per share, an arithmetic average of the base DCF and P/E values. Relative valuation reflects the selected multiple and modeled EPS; DCF reflects forecast free cash flow, capital structure and terminal assumptions. A simple average does not resolve methodological differences and should be justified as a modeling convention rather than treated as an objective market value.

The valuation sheet records a spot reference of ₹551.30 on 20 October 2026. The blended value is below that reference, while the P/E value is above and the DCF value is below. Since the date-specific price, peer multiples and target multiples can change, these results are historical model inputs. They are not investment advice or a current price target.

Scenario	DCF value / share	FY28 P/E value / share	Workbook basis
Bear	₹120.62	₹326.24	12% WACC; 4.5% terminal growth; 25× P/E
Base	₹329.87	₹629.24	11% WACC; 5.0% terminal growth; 35× P/E
Bull	₹644.02	₹916.69	10% WACC; 5.5% terminal growth; 40× P/E

5.9 Valuation Sensitivity and Interpretation

The base DCF sensitivity grid varies WACC between 10% and 12% and terminal growth between 4% and 6%. At 11% WACC and 5% terminal growth, the value is ₹329.87 per share. At 10% WACC and 6% terminal growth, it rises to ₹507.85; at 12% WACC and 4% terminal growth it falls to ₹240.58. This spread of more than two times demonstrates material sensitivity to long-run assumptions.

The direction is economically intuitive: a lower discount rate increases the present value of future cash flows, while a higher terminal growth rate increases terminal value. However, the range does not capture uncertainty in the explicit forecast itself, including store productivity, margins, finance cost and cash conversion. Nor does it address whether a perpetual 5–6% growth assumption is sustainable over the long term.

A sound academic presentation should display scenario outcomes and sensitivity rather than emphasize a single blended point. It should also test how terminal value contributes to enterprise value and how lease liability treatment affects equity value. The workbook's reported sensitivity is useful, but the assumptions should be independently validated before valuation outputs are relied upon.

Terminal growth / WACC	10%	11%	12%
4%	₹343.06	₹284.46	₹240.58
5%	₹408.98	₹329.87	₹273.44
6%	₹507.85	₹393.44	₹317.24

6. Findings and Discussion

The historical record establishes strong expansion in both revenue and showroom count during FY22–FY26. Revenue CAGR was approximately 34.9%, while Kalyan India showrooms increased from 124 to 342. FOCO penetration became material, reaching approximately 64.9% of the FY26 year-end network. These observations support the claim that FOCO and rapid network growth coexisted during the study period.

The evidence does not prove that FOCO caused the revenue acceleration. Revenue growth may also reflect commodity prices, product mix, existing-store sales, brand investments, new business contribution and macroeconomic demand. Moreover, FOCO stores were not a randomized treatment group; expansion decisions likely reflect market attractiveness and partner availability. The project therefore finds association and strategic plausibility, not causal impact.

Profitability improved in absolute terms, and reported ROCE rose materially by FY26. Cash conversion remained more complex: FY26 CFO was below EBITDA and slightly below PAT. The company continues to have meaningful debt and lease obligations, while inventory funding can remain important even in a franchise-owned model. Thus, asset-light expansion can reduce one component of capital intensity without eliminating balance-sheet or cash-flow risk.

6.1 Principal Findings

Finding one: the company's historical scale expanded quickly. Revenue and showroom counts show substantial growth, with the largest annual revenue increase occurring in FY26. Growth should be interpreted in nominal terms because the workbook does not separate price and volume effects.

Finding two: FOCO became a majority format within the Kalyan India network by FY26. The model's future base case continues this direction by assuming all new stores are FOCO. The resulting store count trajectory is mathematically consistent in the base case, subject to the assumption that all additions open as planned.

Finding three: forecast valuation depends heavily on assumptions. The FY31E revenue range is ₹503 billion to ₹764 billion across cases, and valuation results vary widely by method. A selected forward P/E produces higher values than base DCF, demonstrating that multiple choice is consequential.

Finding four: public data are insufficient to estimate store-level payback or franchisee returns. The model's revenue per new store is an analyst estimate. Without contract terms, mature cohort sales, margins, funding allocation and store-level contribution, claims about precise FOCO economics would be unsupported.

6.2 Discussion of FOCO Capital Efficiency

FOCO's potential benefit lies in the allocation of establishment capital. If a franchise partner funds store setup, the company can expand the customer-facing network without bearing the full upfront fit-out cost. The base scenario reflects this thesis by assuming only 10% of openings require company-funded setup capex and using an assumed ₹20 million per company-funded store. The forecast's new-store capex contribution is consequently modest.

Yet the model's assumption is not enough to establish realized capital efficiency. The company may still bear lease liabilities, technology investment, training, operating expenses, inventory or credit exposure. Store economics can also include revenue-sharing payments or other costs that reduce operating contribution. The division of cash flows between company and partner is central to the question, but is not fully represented by the simplified forecast.

A practical measure would compare incremental operating profit and cash flow with incremental company capital employed, separately for FOCO and COCO cohorts. A second measure would assess partner payback and retention. Both metrics require disclosure or primary research. Until then, ROCE improvement and expansion speed are supportive indicators but cannot quantify the causal return from FOCO.

6.3 Discussion of Growth Quality and Risk

Growth quality depends on whether new stores mature profitably and existing stores retain customers. Rapid expansion can create a temporary boost to revenue while also increasing opening costs, training demands and management complexity. Revenue per store should be measured on a comparable cohort basis, accounting for partial-year openings and closures. The workbook's half-year convention is a simplification, not a substitute for actual store-month data.

Gold price volatility is a sector-level risk because it affects customer affordability, ticket size, inventory valuation and working-capital requirements. Higher prices may increase nominal sales while reducing purchase volumes or shifting customers toward lighter products. The model does not include a separate gold-price or volume scenario, so its existing-business growth assumptions bundle these effects.

Partner quality and governance are also important. A franchise-owned asset can broaden local participation, but the company-operated promise depends on consistent recruitment, operating procedures, audit, customer service and brand standards. Poor execution at a small number of stores can affect brand trust beyond the individual partner. A balanced assessment must therefore consider both capital allocation and operational control.

6.4 Model Review and Internal Consistency

The most visible anomaly occurs in the bull-case store schedule. New stores are assumed to be fully FOCO and conversions from COCO to FOCO are added to FOCO counts, but the model adds conversion counts without reducing the total-store count. As a result, FY31E bull FOCO stores reach 872 while total stores are 862. FOCO cannot exceed total stores. This should be corrected before using the bull scenario for decision-making.

Capex assumptions also differ sharply. Base case uses ₹20 million per company-funded store and a 10% company-funded share of openings. Bull and bear cases use ₹325 million per company-funded store, paired with 2% and 20% shares respectively. The ₹325 million input is about 9–11 times the management-referenced ₹30–35 million historical estimate in the note, suggesting a possible unit or decimal error. The report does not silently correct this assumption.

The forecast assumes all new openings are FOCO even where it applies company-funded capex shares. This may represent company contributions to a FOCO site, but the relationship is not defined. Also, the FY27 base store-opening assumption of 80 is labeled against a plan note of 84 FOCO openings. These matters call for clarification of gross versus net additions, ownership format, and the meaning of capex per opening.

7. Conclusion and Suggestions

The study concludes that Kalyan Jewellers has achieved rapid growth in revenue and showroom reach while increasing the share of FOCO stores. The FOCO format offers a plausible route to expand the network with lower company-funded establishment investment. The historical data also show stronger absolute profitability and higher reported ROCE by FY26. These are meaningful strategic indicators.

The study cannot conclude that FOCO alone caused historical growth or a specific improvement in shareholder value. The available workbook lacks the store-level and contractual data needed to isolate format economics. Cash conversion, debt, lease liabilities, working capital and valuation assumptions remain material. The scenario analysis shows that different assumptions produce a wide range of earnings and value outcomes.

Accordingly, the appropriate conclusion is conditional: FOCO can support scalable expansion if new locations achieve viable demand, partners earn sustainable returns, central operating standards are maintained, and the company's working-capital and lease exposures remain controlled. A transparent and reconciled model, supported by cohort disclosures, would materially improve the quality of future analysis.

7.1 Suggestions for the Company

The company could provide a consistent annual reconciliation of opening, closing and converted showrooms by ownership and operating format. Disclosing gross additions, closures, temporary closures and conversion counts would help analysts distinguish network expansion from format change. Store counts should be presented on a consistent date and perimeter.

A cohort disclosure could report sales growth, store maturity, average revenue, contribution margin and payback ranges for new stores, subject to commercial confidentiality. Separating FOCO and company-owned cohorts would allow stakeholders to assess whether capital-light expansion also generates durable returns. Revenue recognition and the allocation of inventory, occupancy and staffing costs should be explained alongside these indicators.

The company could also explain the relationship between franchise partner investment and company-funded capital, including whether the company funds inventory, fit-out elements, deposits or technology. Reporting a reconciliation of cash from operations to EBITDA and PAT, with attention to inventory and gold metal loans, would improve investor understanding of cash conversion and balance-sheet exposure.

7.2 Suggestions for Future Researchers and Analysts

Future researchers should construct a store-level panel covering openings, closure dates, region, format, sales maturity and comparable-store performance. If franchise contracts are accessible, the research can analyze capital allocation, revenue share and risk-bearing clauses. Interviews with franchisees, employees and customers may complement company disclosures, with suitable consent and sampling safeguards.

Financial analysts should use a consistent debt and lease perimeter across forecast and valuation. They should reconcile gross debt, net debt, gold metal loans, cash, lease liabilities and minority interests. Scenario models should include sensitivity to store productivity, gold prices, working-capital intensity, opening delays and margin, rather than changing several assumptions without attribution.

Students should independently verify every historical figure against the original annual report or investor presentation, document any restatements, and retain formula checks. They should avoid presenting an average of DCF and P/E outputs as a precise intrinsic value without explaining weights. Valuation should be framed as a range with transparent assumptions and date-specific market inputs.

8. Bibliography / References

The following references identify the company disclosures and contextual sources used in preparing the report. The financial figures and model outputs are taken from the user-supplied workbook; source anchors noted in that workbook should be checked against the original filings for formal academic submission.

[1] Kalyan Jewellers India Limited. Annual Report 2024–25. Company investor relations website. Available at: https://www.kalyanjewellers.net/images/investors-new/pdf/annual-report/annual-report/Kalyan_AR%202025_C2C%20design_v9_13.08.2025.pdf (accessed 20 October 2026).

[2] Kalyan Jewellers India Limited. Investor presentations and disclosures to stock exchanges. Investor Relations portal. Available at: https://www.kalyanjewellers.net/investors/shareholder-information/disclosures-to-stock-exchanges.php (accessed 20 October 2026).

[3] Kalyan Jewellers India Limited. Annual Reports FY22–FY26 and FY26 Investor Presentation, as cited in the Historical sheet of the supplied Kalyan_FOCO_Model.xlsx workbook. Original filing dates and exact presentation pagination should be verified from company disclosures.

[4] Kalyan_FOCO_Model.xlsx. User-supplied financial model, comprising Historical, Assumptions, Forecast and Valuation sheets. Prepared/updated 20 October 2026. Unpublished spreadsheet supplied for this academic project.

[5] JM Financial Institutional Securities Limited. Kalyan Jewellers research report, 14 July 2025. Secondary contextual description of FOCO and regional expansion. Available at: https://jmflresearch.com/JMnew/JMCRM/analystreports/pdf/Kalyan_IC_14Jul25.pdf (accessed 20 October 2026).

Citation note: Model assumptions and market data are not independently validated by this report. Company disclosures should be cited directly in any revised submission that quotes additional audited or management-reported facts.

9. Annexure A: Historical Data Extract

This annexure summarizes selected workbook actuals. Financial amounts are ₹ million; stores are year-end counts. “Calculated” margins use reported EBITDA or PAT divided by revenue. ROCE is the reported figure as labeled in the workbook and is not recalculated here.

Metric	FY22	FY23	FY24	FY25	FY26
Revenue	108,179	140,714	185,156	250,451	357,429
EBITDA	8,145	11,140	12,799	15,172	24,912
EBITDA margin	7.5%	7.9%	6.9%	6.1%	7.0%
PAT reported	2,240	4,319	5,963	7,142	13,504
PAT margin	2.1%	3.1%	3.2%	2.9%	3.8%
CFO	2,450	10,134	13,218	12,094	13,175
Kalyan India showrooms	124	147	204	278	342
FOCO showrooms	0	15	76	152	222
FOCO share	0.0%	10.2%	37.3%	54.7%	64.9%
ROCE	—	17.4%	19.1%	19.8%	28.8%

Annexure B: Base Case Forecast Extract

The following extract presents key forecast values to make the base-case trajectory easy to review. Outputs are generated from analyst assumptions and are not company guidance. Values may differ slightly due to rounding.

Metric	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue (₹mn)	402,023	452,725	508,023	563,250	622,927
Revenue growth	12.5%	12.6%	12.2%	10.9%	10.6%
EBITDA (₹mn)	28,142	32,143	36,578	41,117	46,097
EBITDA margin	7.0%	7.1%	7.2%	7.3%	7.4%
PAT (₹mn)	15,831	18,567	21,769	25,085	28,729
EPS (₹)	15.33	17.98	21.08	24.29	27.82
FCFF (₹mn)	16,835	19,430	22,716	26,441	29,900

Annexure C: Scenario Assumptions

Scenario analysis is driven by a bundle of assumptions. The table shows selected FY27E and FY31E inputs. Intervening-year assumptions are detailed in the workbook's Assumptions sheet. It is not possible to attribute the full scenario spread to any one driver from this comparison alone.

Driver	Bear FY27E / FY31E	Base FY27E / FY31E	Bull FY27E / FY31E
New store additions	60 / 65	80 / 90	100 / 100
Existing-business growth	4% / 5%	8% / 7%	12% / 9%
Recognized revenue per new store (₹mn)	300 / 338	400 / 450	500 / 562
EBITDA margin	6.3% / 6.7%	7.0% / 7.4%	7.5% / 8.0%
Finance cost (₹mn)	4,400 / 4,800	4,110 / 3,350	3,900 / 2,700
ΔWC / incremental revenue	12% / 12%	8% / 7%	4% / 4%
COCO-to-FOCO conversions	10 / 10	0 / 0	30 / 20

Annexure D: Forecast Formula Logic

The workbook uses a compact integrated model. New-store revenue contribution is calculated as annual openings multiplied by recognized revenue per store and a 0.5 opening-year factor. Consolidated revenue equals prior-year revenue grown by the existing-business growth assumption plus new-store revenue contribution. This formulation is repeated annually.

EBITDA equals revenue multiplied by the assumed EBITDA margin. D&A equals revenue multiplied by the D&A-to-revenue assumption. EBIT is EBITDA less D&A. PBT is EBIT less finance costs plus other income. PAT is PBT after the assumed tax rate. EPS divides PAT by the diluted share proxy of 1,032.74 million shares.

FCFF is calculated as NOPAT plus D&A less capex and change in working capital. The model applies a percentage of incremental revenue to estimate working-capital investment. The DCF discounts FCFF and a terminal value. Since the model is simplified, users should inspect the original formulas and verify consistency before modifying assumptions.

Annexure E: Model Validation Checklist

The checks below identify questions that should be resolved before the workbook is used for a formal investment decision or submitted as a fully verified forecast. They are not corrections to reported actuals.

Check	Observation	Recommended validation
FOCO count cannot exceed total stores	Bull FY31E: FOCO 872; total 862	Model conversions as reclassification, not added stores
Capex per company-funded store	Base ₹20mn; bull/bear ₹325mn	Confirm intended value, unit and scenario rationale
FY27 opening count	Base assumes 80; note refers to 84 plan	Clarify plan, actual gross openings and net additions
All new openings labeled FOCO	Forecast uses 100% FOCO additions	Clarify why company-funded share of capex is non-zero
Revenue per new store	Analyst estimate only	Do not treat as disclosed store sales
Debt perimeter	Standalone gross debt and consolidated net debt both shown	Reconcile cash, GML, lease and consolidation basis
Valuation dates	Price and peer multiples are date-specific	Refresh inputs for any later valuation date

Annexure F: Glossary

COCO: Company-owned, company-operated store format. D&A: Depreciation and amortisation. DCF: Discounted cash flow valuation. EBITDA: Earnings before interest, tax, depreciation and amortisation. EPS: Earnings per share. FCFF: Free cash flow to the firm, available to all capital providers before financing flows.

FOCO: Franchisee-owned, company-operated store format. GML: Gold metal loan. PAT: Profit after tax. PBT: Profit before tax. ROCE: Return on capital employed. WACC: Weighted average cost of capital. Working capital: Short-term operating assets less short-term operating liabilities; in jewellery retail, inventory and related funding can be especially significant.

E denotes estimate in the forecast labels. A reported or audited figure refers to historical information described as such in the workbook; an analyst estimate refers to a model assumption. A scenario is conditional and does not carry an implicit probability.

Annexure G: Suggested Further Research

A stronger empirical study could compare store cohorts by opening year and operating format. Required variables would include store-months, revenue, product mix, gross margin, franchise consideration, store-level operating expenses, company-funded inventory, capital expenditure, lease obligations and closures. Cohort analysis would control for location and opening maturity more effectively than a simple annual network count.

A qualitative component could interview franchise partners and company managers about capital commitments, operating support, governance, customer acquisition and dispute resolution. Interviews should use a clear sampling frame, informed consent and anonymized reporting where appropriate. Franchise economics may differ by region, store size and local real estate conditions.

A future valuation model could separately forecast Kalyan showrooms, Candere and international businesses, then consolidate results. It could include gold price, volume, mix, working-capital and store-opening sensitivities, with explicit probability weights only where evidence supports them. This would improve transparency and make the FOCO contribution more identifiable.

Annexure H: Academic Use and Interpretation Note

This report is an educational analysis prepared from a supplied financial workbook and publicly identified secondary references. It is not an audit, independent valuation, assurance engagement or investment recommendation. Forecast figures are model outputs conditional on assumptions and can differ materially from actual results.

Before submission, the student should add their name, programme, institution, faculty guide and any required declaration or certificate prescribed by the college. The student should also verify citations and figures against original company filings, update the table of contents and page numbers after any edits, and comply with institutional rules on attribution and permitted use of AI-assisted drafting.

The report intentionally preserves the distinction between evidence and interpretation. Historical data are presented as workbook-sourced reported figures; analyst assumptions are labeled; conclusions are qualified where the underlying data do not permit causal or store-level claims.